

Culture of Growth in Southeast Asia: Cultural Dynamics of Startup Innovation

Market for Ideas

The closest thing economics has to a miracle is modern economic growth. Innovations that raised living standards during the past 200 years have lifted billions out of poverty, shattering the Malthusian trap that had kept almost all of humanity confined to subsistence levels for millennia. Endogenous growth theory, which was created by Nobel laureates Paul Romer, Philippe Aghion, and Peter Howitt, focusses on the dynamics behind the steady increase in per capita income. However, Joel Mokyr's work is necessary to comprehend how those dynamics initially emerged and took hold.

Mokyr's main contribution stands "having identified the prerequisites for sustained growth through technological progress". This was accomplished not in a single dimension, but rather through a progressive and thorough exposition of the events surrounding the start of the Industrial Revolution, which was preserved in five fundamental publications. Joel Mokyr's *Culture of Growth* situates the "market for ideas" as the arena where innovations compete for legitimacy.

In Southeast Asia, the market for ideas manifests through digital ecosystems where legitimacy is shaped by communal trust. In Indonesia, startups thrive when they embed themselves into everyday practices. QRIS illustrates this dynamic by unifying fragmented payment systems into a single trusted platform.

Cultural Entrepreneurs

The Lever of Riches (1990) was founded on a significant observation: technology was frequently measured indirectly. The widely used '*sources of growth*' methodology treated technological change as a *black box*, calculating it as a '*residual*' - that is, the portion of economic growth that could not be explained by physical inputs such as capital and labor. Mokyr approached that black box constructively, tracking important inventions back to ancient Greece and Rome and assessing their function in supporting progress.

Mokyr presents a taxonomy that divides technological breakthroughs into two categories based on a rigorous and fascinating examination of the significant technologies of the industrial age. Macro inventions are paradigm-shifting innovations that radically change the way things are done. Some iconic examples include the steam engine, which converts thermal energy into mechanical energy, and Edward Jenner's smallpox inoculation procedure. Micro-inventions are incremental advancements that unlock macroeconomic potential. This category includes James Watt's separate condenser, which made steam engines financially viable for industrial operations, as well as Henry Cort's puddling and rolling method, which allowed for large-scale wrought-iron manufacture.

Mokyr sees the Industrial Revolution as a clustering of macro-inventions that accelerated micro-inventions. He also attributes Britain's leadership role in industrialization to a comparative advantage in the production of micro-inventions. In *The Enlightened Economy* (2009), Mokyr argues that the underlying origins of economic modernity are not found in capital accumulation, resource endowments, or the development of trade routes, but rather in a cultural shift based on reason and scientific inquest.

In Southeast Asia, startup founders act as cultural entrepreneurs by transforming everyday practices into structured innovations. In this region (OECD, 2013; 2024; 2025), cultural entrepreneurs succeed by aligning innovation with broader narratives of modernization and institutional endorsement.

Cultural Selection

In Southeast Asia, cultural selection operates directly within the marketplace and collective practices. In Indonesia, Tokopedia reinterpreted traditional bargaining culture into a digital marketplace, making familiar practices resonate within new technological frameworks. Shopee thrived by adapting gamification and promotional strategies to local preferences, demonstrating how cultural selection favors innovations that align with communal expectations and consumer behavior.

In this contexts (OECD, 2025), cultural selection depends heavily on institutional narratives and regulatory frameworks. Innovations succeed when aligned with modernization agendas and policy priorities, showing authority can mediate selection as much as consumer choice. As Mokyr argues, cultural selection is deeply embedded in cultural resonance and institutional mediation, shaping which innovations endure in Southeast Asia through trust, daily practices, and implicit legitimacy.

Positive Feedback Loop

In *The Gifts of Athena* (2002), Mokyr makes a distinction between propositional knowledge (why things operate) and prescriptive knowledge (how they work). In a limited epistemic framework (a lack of propositional knowledge), most change occurred through costly trial and error, with little comprehension of why successes worked. In such a world, new innovations and approaches inevitably yield decreasing rewards. The social divide between those who knew things (savants) and those who manufactured things (fabricants) also disadvantaged cross-interaction, which may have resulted in speedier growth.

The industrial period is distinguished by positive feedback loops between propositional and prescriptive knowledge, as well as greater communication between savants and manufacturers, all of which contribute to sustained scientific and technological advancement. He concludes that the Industrial Enlightenment of the 18th century and the Scientific Revolution of the 17th century were the primary forces driving the Industrial Revolution.

In Southeast Asia, positive feedback loops emerge when successful innovations generate trust and infrastructure that enable subsequent developments. In Indonesia, Gojek illustrates this dynamic: its initial success in ride-hailing created a foundation for expansion into food delivery, digital payments, and logistics. Each new service reinforced the legitimacy of the platform. Innovation is not isolated but cumulative, embedding new practices into collective life and enabling cycles of adaptation.

Conclusion

Joel Mokyr's *Culture of Growth* provides a framework for understanding how societies foster innovation through mechanisms such as the market for ideas, cultural entrepreneurs, legitimacy of knowledge, cultural selection, and positive feedback loops.

In Indonesia, the ecosystem for research has become increasingly conducive through institutional mediation. Universities, government agencies, and research councils now play a more active role in legitimizing and disseminating new ideas, providing structured pathways for collaboration between

academia, foreign and domestic industry, and society. This institutional presence ensuring that innovations supported by formal mechanisms of validation, funding, and policy alignment.

The comparative dynamic demonstrates that while Southeast Asia illustrates Mokyr's thesis in diverse ways. Indonesia emphasizes community trust and cultural resonance, now reinforced by institutional mediation in research ecosystems, while neighboring ecosystems highlight institutional pathways more directly. Together, they show that the culture of growth in Southeast Asia is not monolithic but contextually embedded, reflecting multiple pathways through which innovation is legitimized, selected, and sustained.

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